MUKTA ARTS LIMITED

CSR Policy

1.0 PHILOSOPHY:

Pursuant to Section 135 of the Companies Act, 2013 (hereinafter referred to as "the Act") read with the Companies (Corporate Social Responsibility Policy) Rule, 2014, the Company is required to adopt the Corporate Social Responsibility (CSR) policy in the organization to add sense of responsibility and contribution among corporate which is expected to be more beneficial to the society at large by promoting and encouraging economic, social and educational development and also giving active support to local initiatives around its area of operation thereby promoting upliftment of people in varied arenas of life.

Here below is the "Corporate Social Responsibility (CSR) Policy" to contribute more and more to the social and economic development of the communities in which we operate. In doing so, the company will build a better, sustainable way of life for the weaker sections of society and raise the country's human development index.

2.0 RECOGNIZED ACTIVITIES FOR THE PURPOSE OF CSR

CSR Policy relates to the activities to be undertaken by the Company as specified in Schedule VII to the Act and the expenditure thereon, excluding activities undertaken in pursuance of normal course of business of the company.

The activities as specified in Schedule VII that can be undertaken by the company to fulfill its CSR obligations are mentioned below:

1. promoting health care including preventive health care
2. promoting education, including special education and employment enhancing vocation skills especially among children, women, elderly, and the differently abled and livelihood enhancement projects;
3. promoting gender equality, empowering women, setting up homes and hostels for women and orphans; setting up old age homes, day care centres and such other facilities for senior citizens and measures for reducing inequalities faced by socially and economically backward groups;
4. ensuring environmental sustainability, ecological balance, protection of flora and fauna, animal welfare, agro forestry, conservation of natural resources and maintaining quality of soil, air and water;
5. protection of national heritage, art and culture including restoration of buildings and sites of historical importance and works of art; setting up public libraries; promotion and development of traditional handicrafts;
6. measures for the benefit of armed forces veterans, war widows and their

dependents;

7. training to promote rural sports, nationally recognized sports, Paralympics sports and Olympic sports;
8. contributions or funds provided to technology incubators located within academic institutions which are approved by the Central Government;
9. rural development projects.

Following activities shall not be considered under the CSR activities.

a) Activities that benefit only the employees of the Company and their families.

b) Activities undertaken outside India.

The Company expects no favorable treatment as a result of the social investment that it makes; hence the corporate program designs are based upon its heritage, its values, its equity and its motivation to be an outstanding corporate citizen.

3.0 CORPORATE SOCIAL RESPONSIBILITY (CSR) COMMITTEE

3.1. The Company has constituted a Corporate Social Responsibility Committee (hereinafter referred as "the CSR Committee") as per the provisions of Section 135 of the Act; to do the work as mentioned herein after.

The Company Secretary & Compliance Officer of the Company shall act as the Secretary to the CSR Committee.

3.2 RESPONSIBILITIES OF CSR COMMITTEE:

- To recommend the amount of expenditure to be incurred on the activities specified herein before.
- To monitor the implementation of Corporate Social Responsibility projects or programmes or activities undertaken by the Company from time to time through a transparent monitoring mechanism.
- The CSR Committee will be responsible for monitoring approved projects and fund disbursals for such projects. The CSR Committee will put in place a transparent monitoring and reporting mechanism for ensuring effective implementation of the projects, programs and activities proposed to be undertaken by the Company. Such monitoring mechanisms will include visits, meetings and progress/status reporting by the project teams.

3.3. The CSR Committee shall arrange to provide all required inputs to undertake CSR activities and shall review all Social initiatives. The CSR committee shall update the Board of Directors periodically.

3.4 The Board of Directors shall include in Annual Report on CSR activities in their report.

3.5 STRUCTURE FOR CONDUCTING CSR

- The Company may directly undertake the CSR activities.

- The Company also may conduct CSR through

    1. Registered trust, or

    2. Registered society, or

    3. Company under section 8 of the Act i.e. non-profit organization.

4.0 **CSR budget**

The total budget for the CSR projects will be decided by the CSR Committee in accordance with applicable provisions of the Act and the CSR Rules.

5.0 **OBLIGATION UNDER CSR ACTIVITIES**

1 The Company is mandatorily required to spend at least 2% of the average *Net profit of three immediately preceding financial years on specified CSR activities.

*Net Profit means the net profit of the Company as per its financial statement prepared in accordance with the applicable provisions of the Act, but shall not include the following;

a) Any profit arising from any overseas branch or branches of the Company, whether operated as a separate Company or otherwise; and

b) Any dividend received from other Companies in India which are covered under and complying the provisions of CSR rules.

2 Any surplus arising out of the CSR projects or programs or activities shall not form a part of the business profit of the Company.

Any or all provisions of this CSR policy may be amended by the Board based on the recommendations of the CSR Committee or in accordance with any statutory guidelines that may be issued from time to time.

For Mukta Arts Limited

sd/-
Mr.Rahul Puri
Managing Director

Mumbai
Dated: 11 Feb 2021